

Clayton Christensen (1997), a guru of management at Harvard Business School, shows convincingly that it is outsiders (especially small firms) who innovate. This is true in finance too. The impertinent startup that introduced index funds was a bank—Wells Fargo—with few equity clients. Three people there led the charge: John McQuown, James Vertin, and William Fouse. “It was they who truly brought the gown to town,” in Bernstein’s (1992) words—appropriate because McQuown turned the asset management division into an academic powerhouse; the big guys in finance, Black, Fama, Jensen, Markowitz, Miller, and Sharpe (many going on to win Nobel Prizes), all worked for Wells Fargo at some point.

The first market index fund was a failure. In 1971, Wells Fargo created an equal-weighted index fund seeded by a pioneer, Samsonite’s pension fund. It was a nightmare to trade and was eventually shut down.

In 1973, Wells Fargo launched a second attempt, this time successful. It created the modern index fund with market capitalization weights—the model for all index funds since. To seed this new fund, Wells Fargo’s own pension fund put in money, along with Illinois Bell’s.

Two other initial adopters of index funds were also outsiders: American National Bank, led by Rex Sinquefeld, who went on to found DFA, and Batterymarch Financial Management, headed by Dean LeBaron. Neither is a household name today.

Index funds would have remained niche investments were it not for the Vanguard Group—now one of the world’s largest asset managers.⁵⁴ Vanguard was started in 1975 by John Bogle with an innovative structure: the firm was owned by mutual funds, and the mutual fund shareholders paid Vanguard only what was necessary to operate the firm (which wasn’t much). Vanguard is a “mutual” mutual fund company. Vanguard forsook financial advisors, sold directly to investors, and kept costs low. The firm introduced its first index fund in 1976, and index investing, thanks in large part to Vanguard’s efforts, reached the lexicon of most ordinary investors in the late 1980s and attracted substantial asset flows in the mid- to late 1990s. Although Vanguard is a behemoth today, the firm was not initially successful, but it doggedly persisted: Vanguard’s assets only surpassed \$1 billion—a key threshold for respectability in the funds management industry—in 1998.⁵⁵

Most of the traditional active management mutual fund companies were forced to introduce low-cost index funds. This was about thirty to forty years after the development of the theoretical Capital Asset Pricing Model by Sharpe (1964), explaining why investors should prefer market index funds, and the damning empirical work by Jensen (1968) and others showing that active mutual funds did

⁵⁴ This material is drawn from Hubbard et al. (2010).

⁵⁵ As reported by Bernstein (2010).